

ACC-2401

Financial and Managerial Accounting

Autumn 2023

1a) "Owners' Equity is an internal claim in a business."

Explanation of Internal Claim (Owners' Equity): Owners' equity represents the residual claim or interest of the owner(s) in the business after all liabilities have been settled. It is the difference between the business's assets and liabilities, and it reflects the owners' financial interest in the company.

Accounting Equation: The fundamental accounting equation is:

$$\text{Assets} = \text{Liabilities} + \text{Owners' Equity}$$

This equation shows that all assets of the business are either financed by liabilities (external claims) or owners' equity (internal claims). Owners' equity is what remains for the owner after the company pays off its debts (liabilities).

Example: If a business has assets worth Tk 100,000 and liabilities amounting to Tk 40,000, the owners' equity is:

$$\text{Owners' Equity} = \text{Assets} - \text{Liabilities} = 100,000 - 40,000 = \text{Tk } 60,000$$

Here, the internal claim (owners' equity) of Tk 60,000 represents the owner's share of the business after settling all external obligations.

1b) "A company has limited liability."

Explanation: Limited liability means that the owners or shareholders of a company are only responsible for the company's debts up to the amount they have invested. This means their personal assets are protected, and they cannot be held personally liable for business debts beyond their investment in the company.

Types of Business Organizations:

1. Sole Proprietorship:

- A business owned by a single individual.
- The owner has **unlimited liability**, meaning they are personally responsible for all debts and obligations of the business.

2. Partnership:

- A business owned by two or more individuals.
- Partners typically have **unlimited liability**, where each partner is personally responsible for the debts of the partnership.

3. Company (Limited Liability):

- A company is a legal entity separate from its owners (shareholders).
- The shareholders have **limited liability**, meaning they are only liable for the debts of the company to the extent of their investment in the company. For example, if a shareholder invests Tk 10,000 in the company, they can lose no more than Tk 10,000 if the company goes bankrupt.

In a company, **limited liability** offers protection for owners, making it a more attractive option for businesses with significant risks.

Spring 2023

1a) Discuss the users of Accounting Information and the Accounting branches that provide particular information to the users.

Users of Accounting Information:

1. Internal Users:

- **Management:** Uses accounting info for decision-making and business operations.
- **Employees:** Assess job security and salary structure.
- **Owners/Shareholders:** Evaluate the business's profitability and financial health.

2. External Users:

- **Investors/Shareholders:** Assess the company's financial stability before investing.
- **Creditors/Lenders:** Evaluate a company's ability to repay debts.
- **Regulatory Authorities:** Ensure compliance with laws and tax regulations.
- **Customers/Suppliers:** Evaluate business stability for long-term relationships.

Accounting Branches:

1. **Financial Accounting:** Provides financial statements to external users like investors and creditors.
2. **Cost Accounting:** Focuses on cost management and pricing decisions for internal management.
3. **Management Accounting:** Provides reports for decision-making and performance analysis to management.
4. **Auditing:** Examines financial records for accuracy and compliance, serving internal and external users.
5. **Tax Accounting:** Prepares tax returns and ensures tax compliance, mainly for government agencies.

1b) Write short notes with examples:

i) Accounting Equation

Definition: The accounting equation is the foundation of double-entry accounting. It states that:

$$\text{Assets} = \text{Liabilities} + \text{Owners' Equity}$$

This equation shows that a company's assets are financed either through debt (liabilities) or by the owner's investment (equity). It must always be in balance.

Example: If a business has assets worth Tk 100,000 and liabilities of Tk 40,000, then:

- Owners' Equity = Assets - Liabilities = 100,000 - 40,000 = Tk 60,000

ii) Historical Cost Principle

Definition: The historical cost principle dictates that assets should be recorded at their original cost at the time of acquisition, rather than their current market value.

Example: If a company bought a piece of machinery for Tk 50,000 in 2020, it would continue to be recorded at Tk 50,000 on the financial statements, even if the market value of the machinery increases to Tk 60,000 in 2023.

iii) Going Concern Assumption

Definition: The going concern assumption assumes that a business will continue operating for the foreseeable future and that it will not go bankrupt or liquidate in the short term. This assumption allows businesses to use the accrual basis of accounting.

Example: If a company buys a machine, it is assumed that it will use the machine for several years in its operations rather than selling it off immediately.

iv) Materiality

Definition: The materiality principle suggests that all relatively significant financial transactions that could impact the decision-making of users must be recorded in financial statements. Minor or insignificant items can be excluded if they do not affect the overall understanding of the financial position.

Example: If a company spends Tk 100 on a paper clip, this expense may not need to be recorded separately as it is immaterial compared to the company's overall finances.

Spring 2024

1a) What does the term "Accounting" encompass, and how is it related to the concept of an accounting period? Additionally, what constitutes a Financial Statement?

Accounting: Accounting encompasses the process of recording, classifying, summarizing, and interpreting financial transactions of a business. It helps in maintaining systematic records of business activities and provides information to stakeholders for decision-making.

Relation to Accounting Period: The accounting period refers to the specific time frame for which financial statements are prepared. It is typically a year, quarter, or month, during which a business tracks its financial performance and position. The concept of an accounting period allows for regular assessment of financial performance, regardless of when the transactions occurred.

Financial Statement: A financial statement consists of reports that summarize a company's financial performance and position. The main types are:

1. **Income Statement:** Shows the company's profitability over a specific period, including revenues, expenses, and net profit.
2. **Balance Sheet:** Displays the financial position at a point in time, showing assets, liabilities, and owner's equity.
3. **Cash Flow Statement:** Provides insights into the company's cash inflows and outflows during a period.
4. **Statement of Changes in Equity:** Summarizes changes in owners' equity during a specific period.

1b) "An internal claim in a business is owners' equity." Put your detailed accounting equation explanation here along with your explanation of this statement.

Explanation of Internal Claim (Owners' Equity): Owners' equity represents the residual claim or interest of the owner(s) in the business after all liabilities have been settled. It is the difference between the business's assets and liabilities, and it reflects the owners' financial interest in the company.

Accounting Equation: The fundamental accounting equation is:

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This equation shows that all assets of the business are either financed by liabilities (external claims) or owners' equity (internal claims). Owners' equity is what remains for the owner after the company pays off its debts (liabilities).

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Here, the internal claim (owners' equity) of Tk 60,000 represents the owner's share of the business after settling all external obligations.

Spring 2022

1a) Branches of Accounting and Types of Business Organization

Branches of Accounting:

1. **Financial Accounting:** Prepares financial statements for external users (investors, creditors).
2. **Cost Accounting:** Focuses on determining the cost of production and helps in pricing decisions.
3. **Management Accounting:** Provides internal reports (budgets, forecasts) to help with decision-making.
4. **Auditing:** Examines financial records to ensure compliance with standards.
5. **Tax Accounting:** Prepares tax returns and ensures compliance with tax laws.

Types of Business Organization:

1. **Sole Proprietorship:** Owned by one person with unlimited liability.
2. **Partnership:** Owned by two or more individuals who share profits and liabilities.
3. **Company (Corporation):** A separate legal entity with limited liability for its owners.
4. **LLC:** Combines features of partnerships and corporations, offering limited liability.

1b) Accounting Equation and Five Accounting Concepts

Accounting Equation: $\text{Assets} = \text{Liabilities} + \text{Owner's Equity}$ This equation shows that all assets are financed by liabilities or owners' equity.

Example: If a business has assets of Tk 100,000 and liabilities of Tk 60,000, owner's equity is:

$$\text{Owner's Equity} = 100,000 - 60,000 = \text{Tk } 40,000$$

Five Accounting Concepts:

1. **Accrual Concept:** Records transactions when earned/incurred, not when cash is received.
2. **Going Concern Concept:** Assumes the business will continue operating indefinitely.
3. **Consistency Principle:** Requires businesses to use the same accounting methods over time.
4. **Materiality Principle:** Small, insignificant items can be ignored in financial reports.

5. **Conservatism Principle:** When in doubt, record the least optimistic outcome to avoid overstating profits.